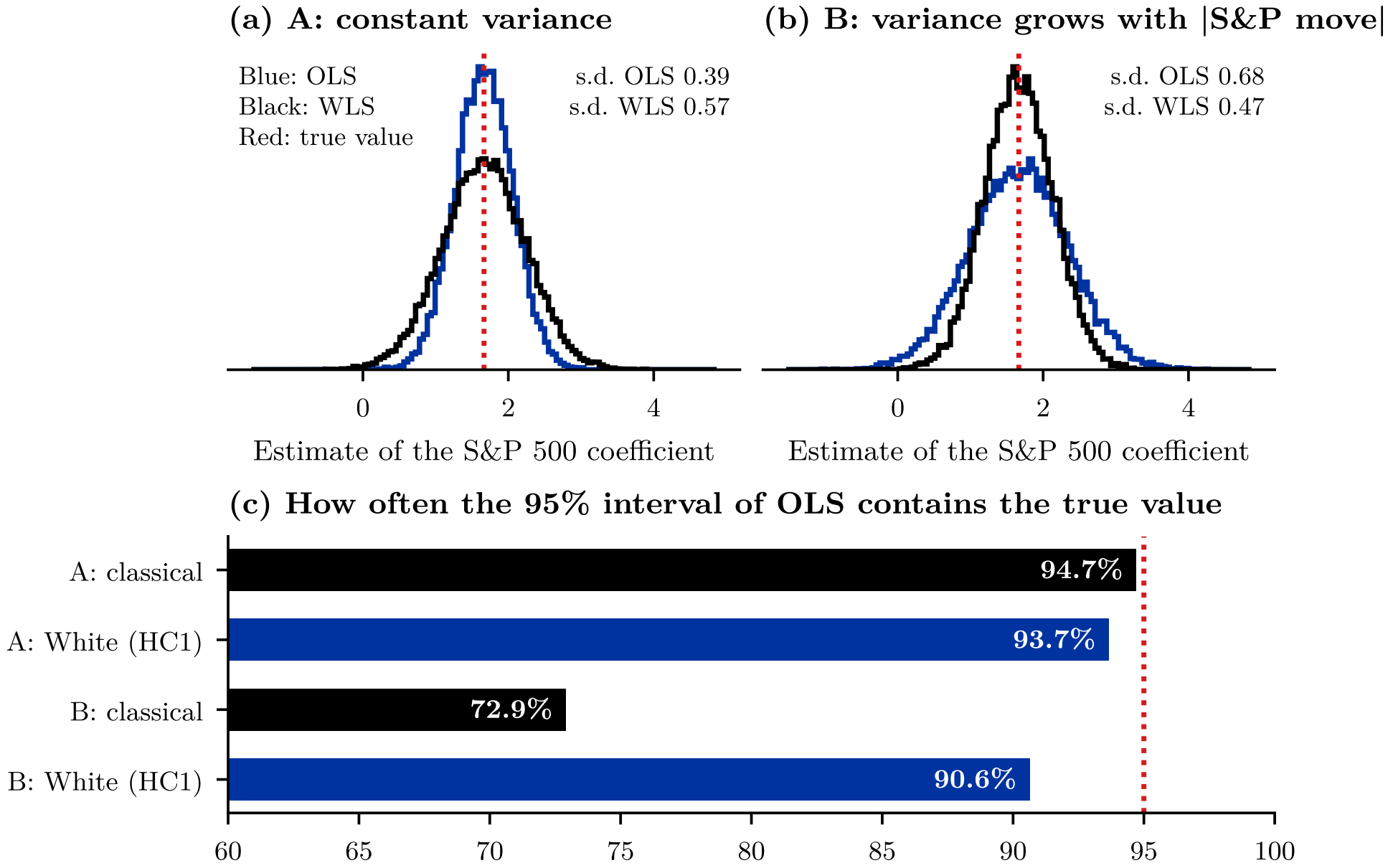
(a) A: constant variance
Blue: OLS
Black: WLS
Red: true value
s.d. OLS 0.39
s.d. WLS 0.57
0
2
4
Estimate of the S&P 500 coefficient
(b) B: variance grows with |S&P move|
s.d. OLS 0.68
s.d. WLS 0.47
0
2
4
Estimate of the S&P 500 coefficient
(c) How often the 95% interval of OLS contains the true value
A: classical
A: White (HC1)
B: classical
B: White (HC1)
94.7%
93.7%
72.9%
90.6%
60
65
70
75
80
85
90
95
100